

Introduction to Merchandising Business

A service business earns revenue by providing services. A merchandising business earns revenue by buying and selling goods. This difference may seem simple, but it changes almost everything in accounting. A merchandising business must track inventory – goods held for sale – and account for the cost of those goods when they are sold. Unlike a service business that records only service revenue and operating expenses, a merchandising business has additional accounts such as Sales, Cost of Goods Sold, Purchases, Freight-In, and Inventory. Understanding merchandising transactions, the source documents that support them, and the two methods of recording inventory (perpetual and periodic) is essential for any student who plans to work in retail, wholesale, or distribution.

This reading material discusses merchandising business transactions and the required source documents using the perpetual and periodic methods. It also explains shipping and delivery terms using both inventory methods.

Part 1: The Nature of a Merchandising Business

A merchandising business buys goods (inventory) and sells them to customers at a higher price. The difference between the selling price and the cost of the goods is called gross profit.

Service Business vs. Merchandising Business

Aspect	Service Business	Merchandising Business
Primary activity	Providing services	Buying and selling goods
Main revenue account	Service Revenue	Sales

Aspect	Service Business	Merchandising Business
Main expense account	Operating expenses (salaries, rent, etc.)	Cost of Goods Sold (COGS)
Inventory	None	Goods held for sale
Example	Law firm, salon, repair shop	Grocery store, clothing store, hardware

The Operating Cycle of a Merchandising Business

A merchandising business follows a continuous cycle:

Step	Activity
1	Purchase inventory from suppliers (on cash or credit)
2	Pay for inventory (if purchased on credit)
3	Sell inventory to customers (for cash or on credit)
4	Collect cash from customers (if sold on credit)
5	Repeat the cycle

Key Accounts in a Merchandising Business

Account	Type	Description
Sales	Revenue	Revenue from selling goods to customers
Sales Returns and Allowances	Contra-revenue	Reductions in revenue for returned or damaged goods

Account	Type	Description
Sales Discounts	Contra-revenue	Reductions for early payment by customers
Purchases	Expense (Periodic method)	Cost of inventory bought for resale
Freight-In	Expense (Periodic method)	Cost of shipping inventory to the business
Inventory	Asset	Goods held for sale
Cost of Goods Sold (COGS)	Expense (Perpetual method)	Cost of inventory sold during the period

Part 2: Source Documents for Merchandising Business

Source documents are the original records of transactions. In a merchandising business, several specific source documents are used.

Common Source Documents

Source Document	When Used	Information Provided
Purchase Order (PO)	Buyer orders goods from a supplier	Description, quantity, price of goods ordered
Sales Invoice	Seller bills a customer for goods sold on credit	Date, customer name, items, quantities, prices, terms

Source Document	When Used	Information Provided
Official Receipt (OR)	Cash is received from a customer	Date, amount received, customer name, payment method
Cash Voucher	Cash is paid to a supplier or for expenses	Date, payee, amount, purpose of payment
Debit Memo	Buyer returns goods to a supplier	Date, supplier name, items returned, reason
Credit Memo	Seller issues a credit to a customer for returns	Date, customer name, items returned, credit amount
Delivery Receipt	Evidence that goods were delivered	Date, customer name, items delivered, received by signature
Statement of Account	Summary of all transactions with a customer for a period	Beginning balance, sales, payments, ending balance

Flow of Documents in a Typical Merchandising Transaction

Step	Document	Party
1	Purchase Order	Buyer sends to Supplier
2	Sales Invoice	Supplier sends to Buyer
3	Delivery Receipt	Delivery person gives to Buyer
4	Official Receipt	Buyer receives when paying cash
5	Statement of Account	Supplier sends monthly to Buyer

Part 3: Shipping and Payment Terms

Shipping and payment terms determine who pays for shipping, when ownership transfers, and when payment is due.

Shipping Terms

Shipping terms specify the point at which ownership of goods transfers from the seller to the buyer. They also determine who pays the freight cost.

Term	Meaning	Who Pays Freight	When Ownership Transfers
FOB Shipping Point	Free on Board at shipping point	Buyer	When goods leave the seller's warehouse
FOB Destination	Free on Board at destination	Seller	When goods arrive at the buyer's location

FOB Shipping Point (Buyer Pays Freight)

- Ownership transfers when goods are loaded on the delivery truck
- Buyer records the goods as inventory immediately
- Buyer pays the freight cost (recorded as Freight-In or Transportation-In)
- If goods are damaged in transit, the buyer files a claim with the shipping company

FOB Destination (Seller Pays Freight)

- Ownership transfers when goods arrive at the buyer's location
- Seller owns the goods while they are in transit
- Seller pays the freight cost (recorded as Freight-Out or Delivery Expense)
- If goods are damaged in transit, the seller files a claim

Payment Terms

Payment terms specify when payment is due and whether discounts are offered for early payment.

Common Payment Terms

Term	Meaning	Example
n/30	Net amount due in 30 days	Full payment within 30 days
n/60	Net amount due in 60 days	Full payment within 60 days
2/10, n/30	2% discount if paid within 10 days; net due in 30 days	₱1,000 invoice: pay ₱980 within 10 days, or ₱1,000 in 30 days
3/15, n/45	3% discount if paid within 15 days; net due in 45 days	₱1,000 invoice: pay ₱970 within 15 days, or ₱1,000 in 45 days
COD (Cash on Delivery)	Payment due when goods are delivered	Cash must be paid at time of delivery

Calculating Discounts

Example: Invoice amount ₱50,000 with terms 2/10, n/30. Buyer pays within 10 days.

Calculation	Amount
Invoice amount	50,000
Less: 2% discount ($50,000 \times 0.02$)	(1,000)
Amount to pay within 10 days	49,000

If paid after 10 days but within 30 days, the full ₱50,000 is due.

Part 4: Perpetual vs. Periodic Inventory Methods

Merchandising businesses use one of two methods to record inventory transactions: the perpetual method or the periodic method. The choice affects how purchases, sales, and cost of goods sold are recorded.

Comparison of Perpetual and Periodic Methods

Aspect	Perpetual Method	Periodic Method
Inventory account	Updated continuously after every purchase and sale	Updated only at the end of the period
Cost of Goods Sold (COGS)	Recorded at the time of each sale	Calculated at the end of the period
Purchases	Recorded directly to Inventory account	Recorded in Purchases account (separate from Inventory)
Freight-In	Added to Inventory account	Added to Purchases account (or separate Freight-In account)
Purchase Returns and Allowances	Deducted from Inventory account	Deducted from Purchases (or separate account)
Purchase Discounts	Deducted from Inventory account	Deducted from Purchases (or separate account)
Inventory accuracy	Known at any time	Known only after physical count
System requirements	Computerized system recommended	Can be done manually

Aspect	Perpetual Method	Periodic Method
Common users	Retail stores with barcode scanners	Small businesses, wholesalers

Part 5: Recording Transactions Under the Perpetual Method

Under the perpetual method, the Inventory account is updated for every purchase, sale, return, and discount.

Perpetual Method: Purchase Transactions

Transaction 1: Purchase of Inventory on Credit

On January 5, 2024, the business purchased ₱100,000 of inventory on credit from ABC Supplier. Terms: 2/10, n/30. FOB Shipping Point.

Date	Account	Debit	Credit
Jan 5	Inventory	100,000	
	Accounts Payable		100,000

Transaction 2: Payment of Freight (FOB Shipping Point)

The business paid freight of ₱5,000 to the shipping company (buyer pays freight).

Date	Account	Debit	Credit
Jan 5	Inventory	5,000	
	Cash		5,000

Notice: Freight is added to the Inventory account because it is part of the cost of getting goods ready for sale.

Transaction 3: Purchase Return (Return of defective inventory)

The business returned ₱10,000 of defective inventory to ABC Supplier.

Date	Account	Debit	Credit
Jan 7	Accounts Payable	10,000	
	Inventory		10,000

Transaction 4: Payment Within Discount Period

The business paid the balance due within the discount period (2/10, n/30). Original purchase: ₱100,000. Less return: ₱10,000. Balance: ₱90,000. Discount: 2% of ₱90,000 = ₱1,800.

Date	Account	Debit	Credit
Jan 15	Accounts Payable	90,000	
	Cash		88,200
	Inventory		1,800

Notice: The discount reduces the Inventory account because it reduces the cost of the goods.

Perpetual Method: Sales Transactions

Transaction 5: Sale of Inventory on Credit

On January 10, 2024, the business sold inventory costing ₱60,000 for ₱120,000 on credit to Customer XYZ. Terms: 2/10, n/30. FOB Destination.

Date	Account	Debit	Credit
Jan 10	Accounts Receivable	120,000	
	Sales		120,000

Record the cost of goods sold at the same time:

Date	Account	Debit	Credit
Jan 10	Cost of Goods Sold	60,000	
	Inventory		60,000
	(Cost of goods sold)		

This second entry is unique to the perpetual method. The cost of goods sold is recorded immediately when the sale occurs.

Transaction 6: Payment of Freight (FOB Destination)

The business paid freight of ₱3,000 to deliver the goods to the customer (seller pays freight).

Date	Account	Debit	Credit
Jan 10	Delivery Expense (Freight-Out)	3,000	
	Cash		3,000

Notice: Under FOB Destination, the seller pays freight. This is recorded as Delivery Expense (or Freight-Out), not as part of Inventory.

Transaction 7: Sales Return

The customer returned defective goods that had a selling price of ₱20,000 and a cost of ₱10,000.

Date	Account	Debit	Credit
Jan 12	Sales Returns and Allowances	20,000	
	Accounts Receivable		20,000
	(Return of defective goods by customer)		

Restore the returned goods to inventory:

Date	Account	Debit	Credit
Jan 12	Inventory	10,000	
	Cost of Goods Sold		10,000

Transaction 8: Collection Within Discount Period

The customer paid the balance due within the discount period. Original sale: ₱120,000. Less return: ₱20,000. Balance: ₱100,000. Discount: 2% of ₱100,000 = ₱2,000.

Date	Account	Debit	Credit
Jan 20	Cash	98,000	
	Sales Discounts	2,000	
	Accounts Receivable		100,000

Part 6: Recording Transactions Under the Periodic Method

Under the periodic method, the Inventory account is NOT updated during the period. Instead, purchases are recorded in separate accounts. The Inventory account is updated only at the end of the period after a physical count.

Periodic Method: Purchase Transactions

Transaction 1: Purchase of Inventory on Credit

On January 5, 2024, the business purchased ₱100,000 of inventory on credit from ABC Supplier. Terms: 2/10, n/30. FOB Shipping Point.

Date	Account	Debit	Credit
Jan 5	Purchases	100,000	
	Accounts Payable		100,000
	(Purchase of inventory on credit)		

Notice: Purchases account is used, not Inventory.

Transaction 2: Payment of Freight (FOB Shipping Point)

The business paid freight of ₱5,000 to the shipping company.

Date	Account	Debit	Credit
Jan 5	Freight-In (or Transportation-In)	5,000	
	Cash		5,000
	(Freight cost on purchase)		

Transaction 3: Purchase Return

The business returned ₱10,000 of defective inventory to ABC Supplier.

Date	Account	Debit	Credit
Jan 7	Accounts Payable	10,000	
	Purchase Returns and Allowances		10,000

Transaction 4: Payment Within Discount Period

The business paid the balance due within the discount period. Original purchase: ₱100,000. Less return: ₱10,000. Balance: ₱90,000. Discount: 2% of ₱90,000 = ₱1,800.

Date	Account	Debit	Credit
Jan 15	Accounts Payable	90,000	
	Purchase Discounts		1,800
	Cash		88,200
	(Payment within discount period)		

Periodic Method: Sales Transactions

Under the periodic method, the cost of goods sold is NOT recorded at the time of sale. Only the selling price is recorded.

Transaction 5: Sale of Inventory on Credit

On January 10, 2024, the business sold inventory for ₱120,000 on credit to Customer XYZ. Terms: 2/10, n/30. FOB Destination.

Date	Account	Debit	Credit
Jan 10	Accounts Receivable	120,000	
	Sales		120,000
	(Sale of inventory on credit)		

Notice: No entry is made for Cost of Goods Sold at this time.

Transaction 6: Payment of Freight (FOB Destination)

The business paid freight of ₱3,000 to deliver the goods (seller pays).

Date	Account	Debit	Credit
Jan 10	Delivery Expense (Freight-Out)	3,000	
	Cash		3,000
	(Freight cost paid by seller)		

Transaction 7: Sales Return

The customer returned defective goods with a selling price of ₱20,000.

Date	Account	Debit	Credit
Jan 12	Sales Returns and Allowances	20,000	
	Accounts Receivable		20,000

No entry is made for restoring inventory because inventory is not updated until period end.

Transaction 8: Collection Within Discount Period

The customer paid the balance due within the discount period. Original sale: ₱120,000. Less return: ₱20,000. Balance: ₱100,000. Discount: 2% of ₱100,000 = ₱2,000.

Date	Account	Debit	Credit
Jan 20	Cash	98,000	
	Sales Discounts	2,000	
	Accounts Receivable		100,000

Part 7: End-of-Period Procedures Under the Periodic Method

Under the periodic method, the cost of goods sold is calculated at the end of the period using the following formula:

$$\text{Cost of Goods Sold} = \text{Beginning Inventory} + \text{Net Purchases} - \text{Ending Inventory}$$

Computing Net Purchases

Component	Amount
Purchases	xxx
Add: Freight-In	xxx
Less: Purchase Returns and Allowances	(xxx)

Component	Amount
Less: Purchase Discounts	(xxx)
Net Purchases	xxx

Example of COGS Calculation

Item	Amount
Beginning Inventory (January 1)	200,000
Add: Purchases	500,000
Add: Freight-In	20,000
Less: Purchase Returns	(30,000)
Less: Purchase Discounts	(10,000)
Net Purchases	480,000
Cost of Goods Available for Sale	680,000
Less: Ending Inventory (January 31, physical count)	(150,000)
Cost of Goods Sold	530,000

Journal Entry to Record Ending Inventory (Periodic Method)

At the end of the period, the beginning inventory is removed, and the ending inventory is recorded.

Date	Account	Debit	Credit
Jan 31	Income Summary	200,000	
	Inventory (beginning)		200,000
	(To remove beginning inventory)		

Date	Account	Debit	Credit
Jan 31	Inventory (ending)	150,000	
	Income Summary		150,000

Part 8: Comparison of Perpetual and Periodic Methods – Journal Entries Summary

Transaction	Perpetual Method	Periodic Method
Purchase of inventory	Debit Inventory	Debit Purchases
Payment of freight on purchase	Debit Inventory	Debit Freight-In
Purchase return	Credit Inventory	Credit Purchase Returns
Purchase discount	Credit Inventory	Credit Purchase Discounts

Transaction	Perpetual Method	Periodic Method
Sale of inventory (selling price)	Debit AR, Credit Sales	Debit AR, Credit Sales
Sale of inventory (cost)	Debit COGS, Credit Inventory	No entry
Freight on sale (FOB Destination)	Debit Delivery Expense	Debit Delivery Expense
Sales return (selling price)	Debit Sales Returns	Debit Sales Returns
Sales return (cost)	Debit Inventory, Credit COGS	No entry

Key Terms

Term	Definition
Merchandising business	A business that buys and sells goods for profit
Cost of Goods Sold (COGS)	The cost of inventory sold during a period
Perpetual inventory method	Inventory updated continuously after every transaction
Periodic inventory method	Inventory updated only at the end of the period after physical count
FOB Shipping Point	Buyer pays freight and owns goods when they leave seller's warehouse
FOB Destination	Seller pays freight and owns goods until they arrive at buyer's location
Purchase discount	Reduction in purchase price for early payment
Sales discount	Reduction in selling price offered to customers for early payment
Freight-In	Transportation cost to bring inventory to the business (added to cost of goods)
Freight-Out	Transportation cost to deliver goods to customers (operating expense)

Review Questions

1. What is the main difference between a service business and a merchandising business?
2. What is the difference between FOB Shipping Point and FOB Destination? Who pays freight under each term? When does ownership transfer?
3. An invoice shows terms of 3/15, n/45 with an amount of ₱60,000. Calculate the amount due if paid within the discount period.
4. Under the perpetual method, what accounts are debited and credited when inventory is purchased on credit?
5. Under the perpetual method, what two journal entries are recorded when inventory is sold on credit?
6. Under the periodic method, what account is debited when inventory is purchased on credit?
7. Under the periodic method, is Cost of Goods Sold recorded at the time of sale? If not, when and how is it calculated?
8. A business purchased inventory for ₱200,000 on credit, paid freight of ₱10,000, returned ₱20,000 of defective goods, and paid within the discount period (2/10, n/30). Using the perpetual method, prepare all journal entries.
9. Using the same information as question 8, prepare the journal entries using the periodic method.
10. Application question: A business using the periodic method has beginning inventory of ₱150,000, purchases of ₱400,000, freight-in of ₱15,000, purchase returns of ₱25,000, purchase discounts of ₱10,000, and ending inventory of ₱180,000. Calculate the Cost of Goods Sold. Show your calculation.